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Foundations of Planning



Learning Objectives

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PART 1. Define the **nature** and **purposes** of planning.

PART 2. Classify the **types** of **goals** organizations might have and the **plans** they use.

PART 3. Compare and contrast **approaches** to goal-setting and planning.

PART 4. Discuss **contemporary issues** in planning.

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What Is Planning?

Planning :

1) defining the organization's **goals**,
2) establishing **strategies** for achieving those goals,
3) and developing **plans** to integrate and coordinate work activities

Planning is often called the **primary** management function because it establishes the **basis** for all the other things managers do as they organize, lead, and control

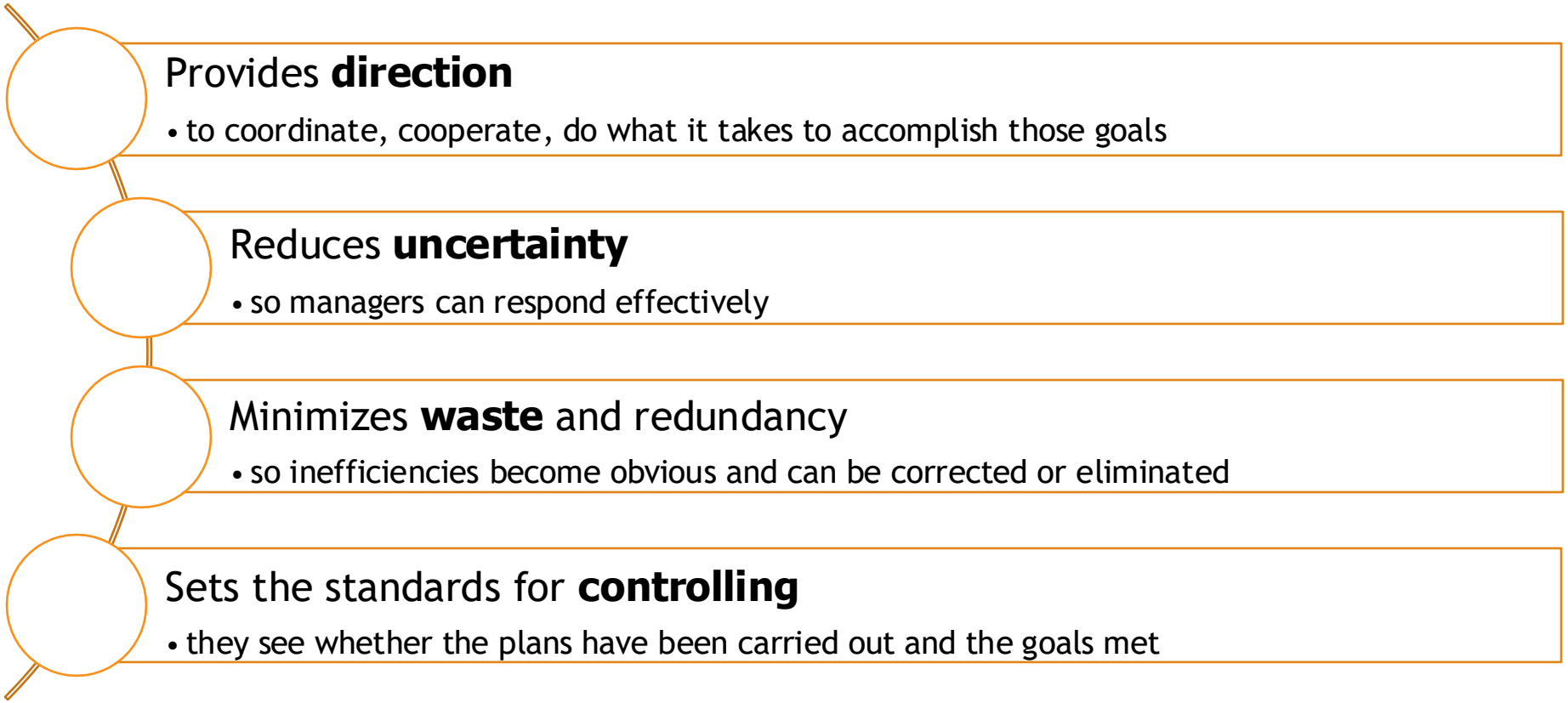
Formal planning

Specific goals covering a specific **time period**	**Written** and shared with organizational members	Specific plans exist for achieving these **goals**

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Why Do Managers Plan?

- Four reasons for planning



Planning and Performance

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Is planning worthwhile?

- Formal planning is associated with:
  - Positive **financial** results – higher profits, higher return on assets, and so forth.
  - The quality of planning and implementation affects **performance** more than the extent of planning.
  - The **external environment** can reduce the impact of planning on performance.
  - The planning-performance relationship seems to be influenced by the planning time frame

Goals and Plans

Goals (objectives) - desired **outcomes** or targets.

Plans - documents that outline **how goals** are going to be met.



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Types of Goals

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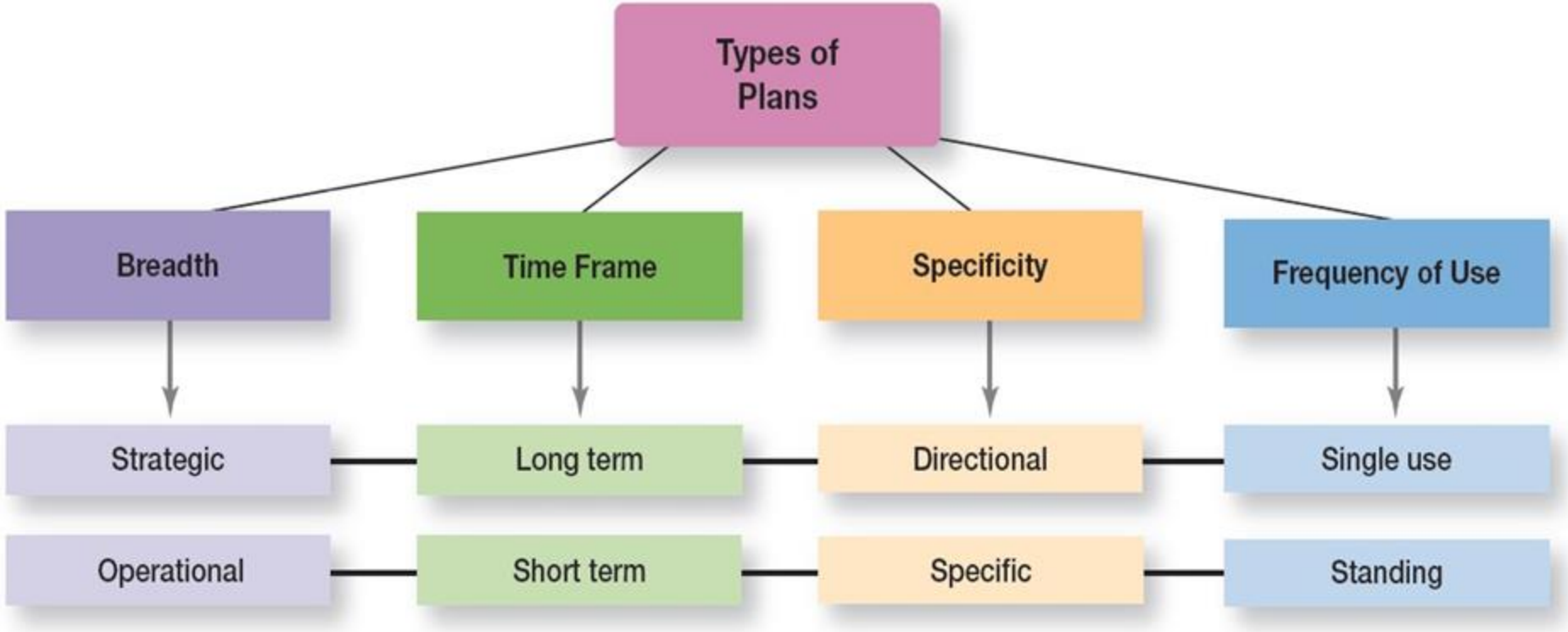
Financial Goals - related to the **expected** internal **financial performance** of the organization.

Strategic Goals - related to the performance of the firm relative to factors in its **external environment** (e.g., competitors)

Stated Goals - **official statements** of what an organization says, and what it wants its various stakeholders to believe its goals are.

Real goals - goals that an organization **actually pursues**, as defined by the **actions** of its members.

Types of Plans



Types of Plans

- **Strategic plans** – plans that apply to the ***entire*** organization and establish the organization's overall goals.
  - For example, the strategic plan of Egyptian Transport and Commercial Services Company (Egytrans) is to "make integrated transport easy, safe, and cost- effective," by providing its business customers with world-class transport and logistics services
- **Operational plans** – plans that encompass a ***particular*** operational area of the organization.
  - The operational plans of Egytrans guide decisions about new products and business units to support the strategic plan

Types of Plans (cont.)

- **Long-term plans** – plans with a time frame beyond **three years**.
- **Short-term plans** – plans covering **one year or less**.

- **Specific plans** – plans that are **clearly defined** and leave no room for interpretation.
- **Directional plans** – plans that are **flexible** and set out general guidelines.

Types of Plans (cont.)

- **Single-use plan** – a **one-time plan** specifically designed to meet the needs of a unique situation.
  - For instance, when Walmart wanted to expand the number of its stores in China, top-level executives formulated a single-use plan as a guide

- **Standing plans** – **ongoing plans** that provide guidance for activities performed repeatedly.
  - Standing plans include policies, rules, and procedures
  - As an example, France's LVMH has a standing plan to handle issues under its ethical code of conduct, which applies to employees and to suppliers

Approaches to Setting Goals

Traditional goal-setting

Management by objective (MBO)

Traditional Goal Setting

Traditional goal-setting

- an approach to setting goals in which top managers set goals that then ***flow down*** through the organization and become subgoals for each organizational area.



Challenges

- Turning broad strategic goals into departmental, team, and individual goals can be a **difficult** and **frustrating** process
- When top managers define the organization's goals in broad terms—such as achieving "sufficient" profits or increasing "market leadership"—these **ambiguous goals** have to be made more specific as they flow down through the organization

Traditional Goal Setting (cont')

- **Means-ends chain** – an integrated network of goals in which the accomplishment of goals at one level serves as the **means** for **achieving** the goals, or ends, at the next level.
  - Higher-level goals (or ends) are linked to lower-level goals, which serve as the means for their accomplishment

- In the traditional approach, planning is done entirely by top-level managers, often assisted by a formal planning department.
  - **Formal planning department** – a group of planning specialists whose sole responsibility is helping to write organizational plans.

Management by Objective (MBO)

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- **Management by objective (MBO)** – a process of setting **mutually agreed upon goals** and using those goals to evaluate employee performance.

- MBO programs have four elements:

goal specificity	participative decision making	an explicit time period	performance feedback

Management by Objective and Employee Performance

- Instead of using goals to make sure employees are doing what they're supposed to be doing, MBO uses **goals to motivate** them as well
- ***Does MBO work?*** Studies have shown that it can increase employee performance and organizational productivity

- *How MBO related to employee stress?*



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SMART PLANNING

S	**Specific**	Make your goal specific and narrow for more effective planning	
M	**Measurable**	Make sure your goal and progress are measurable	
A	**Achievable**	Make sure you can reasonably accomplish your goal within a certain time frame	
R	**Relevant**	Your goal should align with your values and long-term objectives	
T	**Time-based**	Set a realistic but ambitious end date to clarify task prioritization and increase motivation	

Contingency Factors in Planning

Organizational level	• For the most part, lower-level managers do operational planning while upper level managers do strategic planning
Length of future commitments	• **Commitment Concept**: Current plans affecting future commitments must be sufficiently long-term in order to meet those commitments.
Environmental Uncertainty	• **When uncertainty is high**, plans should be specific, but flexible. • Managers must be prepared to change or amend plans as they're implemented. • At times, they may even have to abandon the plans.

HowCan Managers Plan Effectively in Dynamic Environments?

- In an uncertain environment, managers should develop plans that are **specific**, but **flexible**.
- Managers need to recognize that planning is an **ongoing process**.
- Make the organizational **hierarchy flatter** to effectively plan in dynamic environments
- Use **Environmental Scanning** to screen information to detect emerging trends.
- **Use Competitive intelligence to** gather information about competitors that allows managers to anticipate

Referensi

- Robbins, S. P., Coulter, M. (2021). Management (15th edition). Harlow: Pearson Education.

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Strategic Planning



Learning Objectives

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PART 1. Define **strategic management** and explain why it's **important**.

PART 2. Explain what managers do during the **six steps of the strategic management process**.

PART 3. Describe the three types of **corporate strategies**.

PART 4. Describe **competitive advantage** and the **competitive strategies** organizations use to get it.

PART 5. Discuss **current** strategic management **issues**.

What Is Strategic Management?

Strategic management – what managers do to develop the organization's strategies.

Strategies – the *plans* for how the organization will **do** what it's in business to do, how it will **compete** successfully, and how it will **attract** and **satisfy** its customers in order to achieve its *goals*.

Business model – how a company is going to **make money**. Focus on:

1) whether customers will value what the company is providing and
2) whether the company can make any money doing that



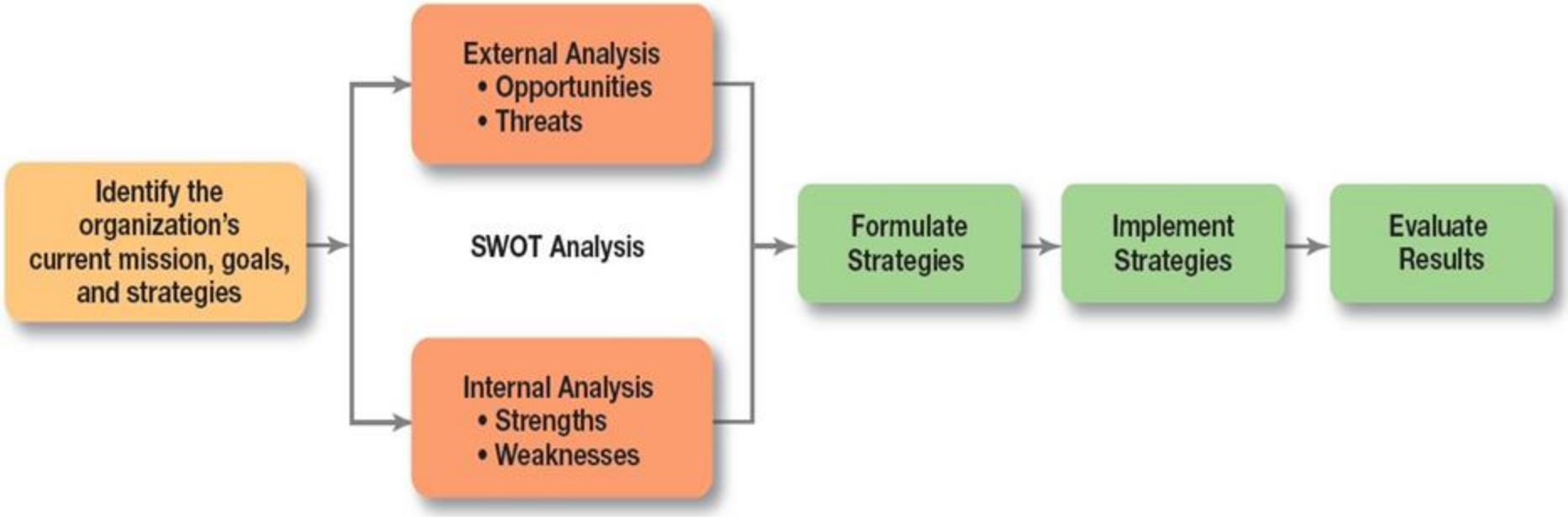
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Why Is Strategic Management Important?

- It results in higher organizational **performance**.
- It requires that managers examine and **adapt** to business environment changes.
- It coordinates **diverse** organizational units, helping them focus on organizational goals.

Strategic Management Process

Strategic management process – a six-step process that encompasses strategic planning, implementation, and evaluation.



Strategic Management Process – Step 1

Step 1: Identifying the organization's current mission, goals, and strategies:

- **Mission:** a statement of the purpose of an organization.
  - The scope of its products and services
- **Goals:** the foundation for further planning.
  - Measurable performance targets

Component of a mission statement

Customers:	Who are the firm's customers?
Markets:	Where does the firm compete geographically?
Concern for survival, growth, and profitability:	Is the firm committed to growth and financial stability?
Philosophy:	What are the firm's basic beliefs, values, and ethical priorities?
Concern for public image:	How responsive is the firm to societal and environmental concerns?
Products or services:	What are the firm's majorproducts or services?
Technology:	Is the firm technologically current?
Self-concept:	What are the firm's major competitive advantage and core competencies?
Concern for employees:	Are employees a valuable asset of the firm?

Strategic Management Process – Step 2 and 3

Step 2 : Doing an external analysis

- The environmental scanning of specific and general environments.
  - Managers do an external analysis so they know, for instance, what the competition is doing, what pending legislation might affect the organization, or what the labor supply is like in locations where it operates.
- Focuses on identifying ***opportunities*** and ***threats***

Step 3: Doing an internal analysis

- Assessing organizational **resources**, **capabilities**, and **activities, core competencies**:
- Identifying strengths and weaknesses
  - ***Strengths*** create value for the customer and strengthen the competitive position of the firm.
  - ***Weaknesses*** can place the firm at a competitive disadvantage.

SWOT analysis – an analysis of the organization's strengths, weaknesses, opportunities, and threats, to formulate appropriate strategies—that is, strategies that

- (1) **exploit** an organization's strengths and external opportunities,
- (2) **buffer** or **protect** the organization from external threats, or
- (3) **correct** critical weaknesses.

Strategic Management Process – Step 4,5,6

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Step 4 : Formulating strategies

- Develop and evaluate strategic **alternatives**.
- Select appropriate strategies for all levels in the organization that provide relative advantage over competitors.
- Match organizational strengths to environmental opportunities.
- Correct weaknesses and guard against threats.

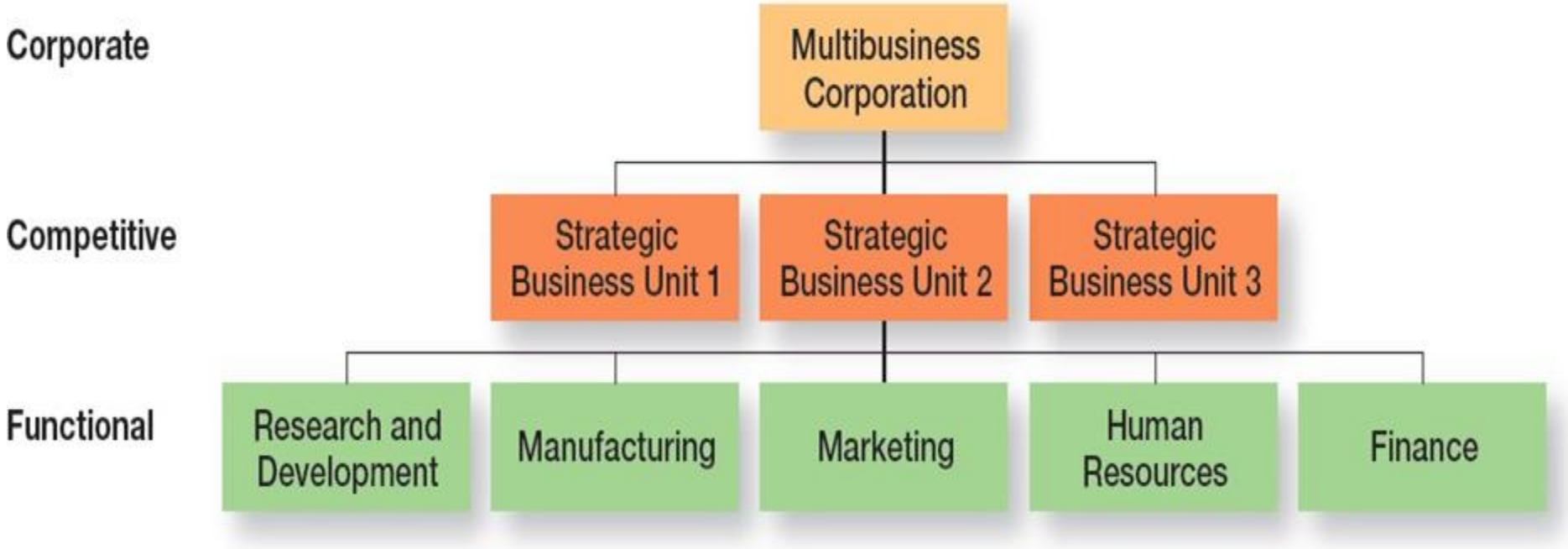
Step 5: Implementing strategies

- **Implementation** – effectively fitting organizational structure and activities to the environment.
- The environment dictates the chosen strategy; effective strategy implementation requires an organizational structure matched to its requirements.

Step 6: Evaluating results

- How effective have strategies been?
- What adjustments, if any, are necessary?

Types of Organizational Strategies



Types of Corporate Strategy?

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Corporate strategy – an organizational strategy that determines what businesses a company is in or wants to be in, and what it wants to do with those businesses.

Growth
- expansion into new products and markets.

Stability
- maintenance of the status quo.

Renewal
- examination of organizational weaknesses that are leading to performance declines.

Growth Strategies

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Growth Strategy – a corporate strategy that's used when an organization wants to **expand** the number of markets served or products offered, through either its current business(es) or new business(es).

- Because of its growth strategy, an organization may increase revenues, number of employees, or market share

Concentration	Vertical Integration	Horizontal Integration	Diversification

Growth Strategies

1. Concentration

- focuses on its **primary line** of business and increases the number of products offered or markets served in this primary business.

2. Vertical Integration

1. **Backward vertical integration** – the organization becomes its own **supplier**.
   - For instance, Walmart plans to build a dairy-processing plant in Indiana to supply private-label milk to hundreds of its stores at a lower cost than purchasing milk from an outside supplier
2. **Forward vertical integration** – the organization becomes its own **distributor**.
   - For example, Apple has more than 400 retail stores worldwide to distribute its products

Growth Strategies

3. Horizontal Integration

- **Horizontal** integration – a company grows by combining with **competitors**.
  - For instance, NMC Healthcare, which is based in the United Arab Emirates, recently acquired Al Zahra Hospital in Sharjah

4. Diversification

1. **Related diversification** – when a company combines with other companies in different, but related industries.
   - For example, Google has acquired a number of businesses (some 150 total), including YouTube, DoubleClick, Nest, and Motorola Mobility
2. **Unrelated diversification** – when a company combines with firms in different and unrelated industries.

Stability Strategy

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Stability Strategy – a corporate strategy in which an organization **continues** to do what it is currently doing.

- Examples of this strategy include continuing to serve the same clients by offering the same product or service, maintaining market share, and sustaining the organization's current business operations.
- The organization doesn't grow, but doesn't fall behind, either

Renewal Strategies

Renewal Strategy – a corporate strategy designed to address declining performance.

Managers do two things for both renewal strategies: cut costs and restructure organiz operations.

Retrenchment strategy – a short-run renewal strategy used for minor performance problems.

- This strategy helps an organization stabilize operations, revitalize organizational resources and capabilities, and prepare to compete once again

Turnaround strategy – when an organization's problems are more serious, more drastic action is needed.

How Are Corporate Strategies Managed?

BCG matrix – a strategy tool that guides resource allocation decisions on the basis of **market share** and **growth** rate of SBUs.

Four Categories

1. **Stars**: High market share/High anticipated growth rate
   - Heavy investment in stars will help take advantage of the market's growth and help maintain high market share.
   - The stars, of course, will eventually develop into cash cows as their markets mature and sales growth slows.

1. **Cash Cows**: High market share/Low anticipated growth rate
   - Managers should "milk" **cash cows** for as much as they can, limit any new investment in them.

2. **Question Marks**: Low market share/High anticipated growth rate
   - After careful analysis, some will be sold off and others strategically nurtured into stars

4. **Dogs**: Low market share/Low anticipated growth rate
   - should be sold off or liquidated



Competitive Strategies

Competitive strategy – an organizational strategy for how an organization will **compete** in its business(es).



When an organization is in several different businesses, those single businesses that are independent and that have their own competitive strategies are referred to as **strategic business units (SBUs)**

- **Strategic Business Unit (SBU)** – the single independent businesses of an organization that formulate their own competitive strategies.
- For example, GE has different competitive strategies for its businesses, which include GE Aviation (aircraft engines), GE Healthcare (ultrasound equipment), consumer appliances (washers and dryers), and many products in diverse industry sectors.

The Role of Competitive Advantage

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Competitive Advantage – what sets an organization apart; its distinctive edge.

- That distinctive edge can come from the organization's core competencies by doing something that others *cannot* do or doing it *better* than others can do it.
- For example, Rolls-Royce has a competitive advantage because of its skills at giving customers exactly what they want—a hand-crafted, ultra luxurious automobile, which can be customized to suit unique color, interior, and equipment preferences.

Quality as a Competitive Advantage

Design Thinking as a Competitive Advantage

Social Media as Competitive Advantage

Sustainable Competitive Advantage with Five Forces Model

Five forces determine industry attractiveness and profitability:

1. Threat of **new entrants**. How likely is it that new competitors will come into the industry?
2. Threat of **substitutes**. How likely is it that other industries' products can be substituted for our industry's products?
3. Bargaining power of **buyers**. How much bargaining power do buyers (customers) have?
4. Bargaining power of **suppliers**. How much bargaining power do suppliers have?
5. Current **rivalry**. How intense is the rivalry among current industry competitors?



Choosing a Competitive Strategy

Two common competitive strategy at the broad market :

- **Cost leadership strategy** – when an organization competes on the basis of having the lowest costs (costs or expenses, not prices) in its industry.
- **Differentiation strategy** – a company that competes by offering unique products that are widely valued by customers.

The third type is :

- **Focus strategy** – involves a cost advantage (cost focus) or a differentiation advantage (differentiation focus) in a narrow segment or niche.

Choosing a Competitive Strategy (cont.)

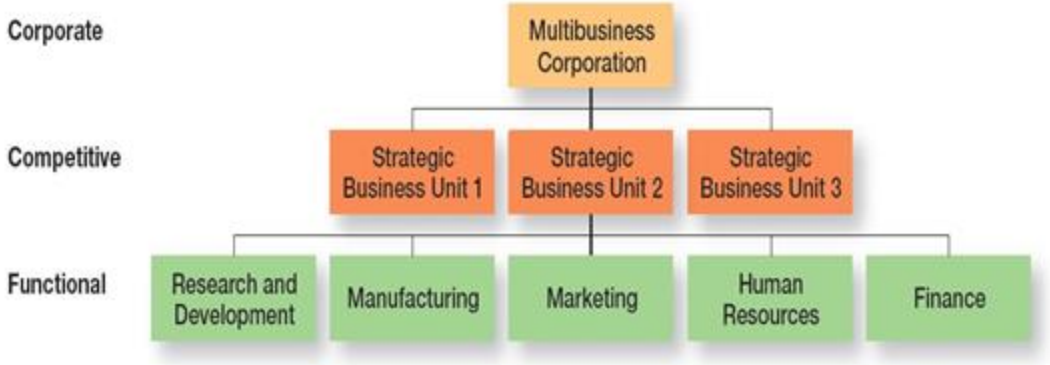
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What happens if an organization can't develop a cost or a differentiation advantage?

Stuck in the middle – when costs are too high to compete with the low-cost leader or when its products and services aren't differentiated enough to compete with the differentiator.

Functional Strategy

- **Functional strategy** – the strategies used by an organization's various **functional departments** to support the competitive strategy.
  - For example, when R. R. Donnelley & Sons Company, a Chicago-based printer, wanted to become more competitive and invested in high-tech digital printing methods, its marketing department had to develop new sales plans and promotional pieces, the production department had to incorporate the digital equipment in the printing plants, and the human resources department had to update its employee selection and training programs.



Referensi

- Robbins, S. P., Coulter, M. (2021). Management (15th edition). Harlow: Pearson Education.